

Paradiem

The Morning Brief

SEPTEMBER 23, 2026

Xi Arrives Wednesday

Nasdaq notches a back-to-back record close as AMD holds its trillion-dollar handle and the Iranian-airline sanctions take effect on the same day Xi lands at Andrews.

S&P 500 (SPY, TUE CLOSE) \$773.38 · ↓0.02%	NASDAQ (QQQ) / DOW (DIA, TUE) \$747.46 ↑0.81% / \$518.00 ↓0.34%	AMD (TUE) / QCOM (TUE) \$623.77 ↑1.34% / \$198.27 ↑2.08%	USO / BNO (TUE) \$144.08 ↓2.75% / \$57.91 ↓1.63%	FEAR & GREED (CNN STOCK) ~34 Fear per MacroMicro · Drop reads 71 crypto fallback
---	---	--	--	--

SECTION 01

Markets — Nasdaq Records Extend as Financials and Defense Fade

CHIP-LED NASDAQ RECORDS EXTEND WHILE BREADTH BIFURCATES — XLK ↑0.73%, XLF ↓1.97%

Per data drop, Tuesday’s cash session reportedly delivered a chip-led Nasdaq extension with QQQ ↑0.81% at \$747.46, SPY essentially flat at \$773.38 ↓0.02%, DIA ↓0.34% at \$518.00, and IUSG (the FCI US growth benchmark) ↑0.13% at \$195.55, while the sector tape reportedly bifurcated with XLB ↑1.65%, XLP ↑0.99%, and XLK ↑0.73% leading and XLF ↓1.97%, XLE ↓1.09%, and XLC ↓1.06% lagging. Per Reuters, Yahoo Finance, and Invezz coverage of the Tuesday tape, the Nasdaq Composite reportedly notched a second consecutive record close — reportedly near 27,244 — on continued strength in AI-related chip names alongside a reported slide in crude and softer bank tape. Per data drop, the FCI Growth-Hybrid semiconductor sleeve reportedly extended with AMD ↑1.34% at \$623.77 (holding above the reported trillion-dollar handle), QCOM ↑2.08% at \$198.27, LRCX ↑2.87% at \$310.96, CRDO ↑2.82% at \$192.56, NXPI ↑2.22% at \$237.57, MRVL ↑1.93% at \$262.36, KEYS ↑1.55% at \$347.32, TSM ↑1.54% at \$452.00, and NVDA ↑0.66% at \$228.87, while the FCI Dividend semiconductor and connector sleeve reportedly moved with ADI ↑1.92% at \$390.37 and TEL ↑1.65% at \$213.48. Per data drop, Carson’s active SPY support level at \$645.80 (retracement target set April 13) remains untouched, with Tuesday’s reported intraday low of \$772.57 well above that level.

S&P 500 (SPY, TUE CLOSE)	\$773.38 · ↓0.02% per data drop
NASDAQ (QQQ) / DOW (DIA, TUE)	\$747.46 ↑0.81% / \$518.00 ↓0.34% per data drop
SECTOR BIFURCATION (TUE)	XLB ↑1.65% / XLK ↑0.73% vs XLF ↓1.97% / XLE ↓1.09% per data drop
FED FUNDS TARGET RANGE	3.75%–4.00% · First hike since 2023 per Fed statement
USO / BNO (TUE)	\$144.08 ↓2.75% / \$57.91 ↓1.63% per data drop
IBIT / ETHA (TUE)	\$48.83 ↓0.37% / \$20.76 ↓0.43% per data drop
CARSON’S ACTIVE SPY SUPPORT	\$645.80 retracement target · Untouched (Tue low \$772.57)

FINANCIALS REPORTEDLY SOLD — XLF ↓1.97% AS BOWMAN SPEAKS AND BANK STRESS-TEST SIGNAL READS THROUGH

Per data drop, Tuesday's XLF reportedly closed ↓1.97% at \$54.80 — the session's worst-performing S&P sector — and per ChartMill and Yahoo Finance coverage carried in the data drop holdings news, one piece reportedly framed Meta's Muse AI-agent verdict as lifting the Nasdaq to a record while reportedly knocking the banks, framing the reported cross-current running between the AI-agent capex narrative and the reported bank operating-model debate. Per Newsquawk and prior-brief Kiplinger coverage of the Fed calendar, Vice Chair for Supervision Bowman reportedly spoke Tuesday morning on bank stress tests ahead of a reported multi-speaker Fed communication wall this week with Vice Chair Philip Jefferson reportedly scheduled to speak Wednesday morning at the New York Fed Treasury Market Conference on discount-window modernization and Treasury market functioning alongside the S&P Global flash September Manufacturing and Services PMIs (per Kiplinger and Investrade), framing the FCI Dividend sleeve reading through the intersection of the reported bank operating-model debate and the Fed rate path. Per StreetStats and iShares coverage of fed funds futures, market pricing reportedly implies a policy rate near approximately 4.2% by December and near approximately 4.7% by September 2027 — framing a hawkish-skewed path against the reported ten-year yield near approximately 4.97% per Tuesday coverage. Per data drop, TLT reportedly closed Tuesday essentially flat at \$81.75 ↓0.06%, and NWG reportedly closed ↓2.01% at \$18.57 — a UK-bank read that reportedly moves with the same yield-plus-operating-model composition running the reported US bank tape.

DEFENSE REPORTEDLY SOLD — LMT ↓2.44%, GD ↓2.97% AS CEASEFIRE OPTICS FIRM AHEAD OF BESSENT AIRLINE DEADLINE

Per data drop, Tuesday's FCI Dividend defense sleeve reportedly moved sharply lower with GD ↓2.97% at \$343.39 and LMT ↓2.44% at \$522.34, framing a session where the reported diplomatic overlay (Pezeshkian reportedly set to address the UN General Assembly Wednesday per Global Security, Trump reportedly framing an Iran decision at the UN per CNN) reportedly overwhelmed the still-live Bessent Wednesday sanctions escalation. Per Reuters coverage carried in the data drop headlines, one piece reportedly framed oil prices as falling on a better supply outlook and hopes for US-Iran talks, and per separate Reuters coverage carried in the drop, another piece reportedly framed the dollar as at two-month highs on Fed hike wagers and Iran diplomacy — the same composition that reportedly compressed USO ↓2.75% at \$144.08 and BNO ↓1.63% at \$57.91 per data drop. Per data drop, the broader FCI energy layer reportedly moved with CVX ↓0.62% at \$202.41 and OKE ↓1.86% at \$90.09, while the metals-and-materials layer reportedly caught a bid with AEM ↑3.07% at \$203.55, FCX ↑3.03% at \$74.35, and NTR ↑1.19% at \$75.43, framing a rotation into hard-asset exposures as the reported dollar-and-yield-plus-diplomacy setup reportedly took the defense and energy bid off the table for one session.

A Nasdaq record extension on chip and AI-agent strength against a XLF ↓1.97% bank sell-off, a defense sleeve reportedly softening ahead of the Bessent airline sanctions deadline coinciding with Xi's Andrews arrival, and a Pezeshkian UNGA address into the same 24 hours frame a Wednesday tape that tends to reward reading each catalyst on its own terms rather than compositing a single directional view. Think like an owner.

Geopolitics — Xi Landing at Andrews as Iran Airline Sanctions Take Effect

XI ARRIVES ANDREWS AROUND 4 PM ET TODAY — TRUMP PLANESIDE RECEPTION, WHITE HOUSE WELCOME THURSDAY, STATE DINNER WITH AI-CEO ROSTER

Per US News, White House, Yahoo, and SCMP coverage of the itinerary, General Secretary Xi Jinping reportedly arrives at Joint Base Andrews around 4 PM ET Wednesday September 23 with President Trump reportedly greeting Xi and Madame Peng Liyuan planeside — a reception reportedly described across coverage as a rare protocol gesture for a visiting head of state, let alone one from a strategic rival. Per Bloomberg, CNBC, and Motley Fool coverage of the Thursday setup, the White House reportedly hosts the State Arrival Ceremony on the South Lawn with a reported 479 military personnel from all branches, followed by bilateral meetings, a Rose Garden guard-of-honor review, and the state dinner in the East Room reportedly including Nvidia CEO Jensen Huang, OpenAI CEO Sam Altman, Qualcomm CEO Cristiano Amon, and Apple Executive Chairman Tim Cook. Per White House and CNN coverage of the agenda, discussions reportedly include trade, Taiwan, artificial intelligence, Iran, and Ukraine, and per Motley Fool and TipRanks coverage of the AI-optionality thread, Nvidia's reported Q3 fiscal-year guide reportedly assumed no Data Center compute revenue from China with KeyBanc reportedly estimating Chinese firms could purchase approximately 1.5 million H200 processors representing a reported approximately \$30 billion sales opportunity in a scenario where the summit reportedly opens a chip-sales pathway. For FCI positioning, the composition — a reported Wednesday airport reception coinciding with the Bessent airline ultimatum, a Thursday AI-CEO state dinner, and the reported November 10 semiconductor export-control moratorium deadline sitting behind the meeting — keeps NVDA, QCOM, AMD, TSM, MRVL, KEYS, TEL, and NXPI reading through the intersection of the Fed rate path, the AI-safety and governance debate, and the Pacific-technology diplomacy channel into the Wednesday-Thursday event.

BESSENT IRANIAN AIRLINE SANCTIONS TAKE EFFECT TODAY — SECONDARY-SANCTIONS PERIMETER WIDENS INTO AIRPORTS, FUEL SUPPLIERS, BANKS

Per WION, Aviation Business ME, FXStreet, and Truthout coverage of the Bessent Monday statement, all Iranian airlines reportedly shut down worldwide starting Wednesday September 23 under a US secondary-sanctions framework that reportedly warns foreign airports, fuel suppliers, landing-service providers, and ticketing companies of exclusion from the US banking system if they reportedly continue servicing Iranian carriers. Per the same coverage, three banks were reportedly sanctioned in the setup, including the Dubai branch of Banque Misr, Golden Global Yatirim Bankasi of Turkey, and VTB Bank of Russia, framing a reported enforcement widening beyond aviation into the correspondent-banking layer. Per Reuters coverage carried in the data drop headlines, one piece reportedly framed oil as falling on a better supply outlook and hopes for US-Iran talks, and per separate Reuters coverage carried in the drop, another piece reportedly framed the dollar as at two-month highs on Fed hike wagers and Iran diplomacy — a composition that reportedly compressed USO $\downarrow 2.75\%$ at \$144.08 and BNO $\downarrow 1.63\%$ at \$57.91 per data drop even as the ultimatum reportedly moved into effect. For FCI positioning, the composition — a reported Wednesday sanctions escalation deadline coinciding with the Xi Andrews arrival, a reported UNGA Pezeshkian address the same day per Global Security, and a still-live diplomacy-versus-escalation binary reportedly reflected in the Tuesday crude compression — keeps CVX, OKE, CNX, LMT, and GD reading through the intersection of the still-live sanctions map, the reported UNGA diplomatic layer, and the physical-crude signal into the balance of the week.

PEZESHKIAN UNGA ADDRESS TODAY — HIGHEST-RANKING IRANIAN ON US SOIL SINCE WAR BEGAN, TRUMP REPORTEDLY FRAMES IRAN DECISION

Per Global Security Iran War Day-207 coverage of the September 22 update, Iranian President Masoud Pezeshkian reportedly departed Tehran on the morning of September 22 for the UN General Assembly and is reportedly scheduled to address the Assembly on September 23 — reportedly the highest-ranking Iranian official on US soil since the war began — and per CNN coverage of the September 22 UNGA setup, President Trump reportedly framed an Iran decision at the UN as between a deal or reportedly annihilating the country, per Reuters coverage carried in the data drop headlines. Per prior-brief coverage carried forward, the reported six-

block movement restriction on the Iranian delegation around UN headquarters remains in effect, and per Eastern Herald coverage carried across the weekend, Iran reportedly transmitted seven conditions through Qatari intermediaries for formalizing the ceasefire. For FCI positioning, the composition — a reported Pezeshkian UNGA address landing on the same day as Xi's Andrews arrival and the Bessent airline sanctions taking effect, a still-live reported ceasefire preconditions track, and a Trump reported UN framing of the Iran decision — keeps CVX, OKE, CNX, LMT, and GD reading through the intersection of the reported UNGA layer, the reported sanctions perimeter, and the physical-crude signal into Wednesday's cash session.

On Our Radar

1. Today — Flash September PMIs, Fed Vice Chair Jefferson Reportedly Scheduled, CTAS & PAYX Before the Open; Bessent Airline Sanctions Take Effect; Xi Lands at Andrews ~4 PM ET. Per Kiplinger, Investrade, and Bloomberg coverage of the economic calendar, the S&P Global flash September Manufacturing PMI and Services PMI reportedly publish today, alongside the Richmond Fed Manufacturing Index, and per Federal Reserve calendar coverage, Vice Chair Philip Jefferson reportedly speaks Wednesday morning at the New York Fed Treasury Market Conference on discount-window modernization and Treasury market functioning — framing the reported Fed communication path from Chair Warsh’s post-hike hawkish setup at Fed funds 3.75%–4.00%. Per data drop earnings calendar, Cintas (CTAS) reports before the open today with reported consensus near approximately \$1.38 EPS, Paychex (PAYX) reports before the open today with reported consensus near approximately \$1.35 EPS, and H.B. Fuller (FUL) and Cracker Barrel (CBRL) also report today. Per WION, Aviation Business ME, and FXStreet coverage of the Bessent statement, the reported global Iranian-airline shutdown reportedly takes effect today, and per US News and White House coverage of the itinerary, Xi Jinping reportedly arrives at Joint Base Andrews around 4 PM ET with Trump reportedly greeting Xi planeside. For FCI positioning, the composition — a flash PMI print into the FCI industrial-and-Dividend sleeve reads (CAT, FAST, ADP, SSNC, GD), a CTAS-and-PAYX pre-open pair into the Dividend uniforms-and-payroll layer, and a Bostic Fed communication into the same 24 hours as the Xi arrival and the Bessent airline sanctions — keeps the investment committee reading through Wednesday’s tape ahead of the reported Thursday White House welcome, Costco earnings, and Friday Durable Goods.

2. KBH Beat, Guide Cut — EPS \$1.05 vs \$0.90 Est, FY26 Revenue Guide Reportedly Trimmed on “Weakening” Housing Market. Per data drop earnings, KB Home reportedly reported Q3 EPS of \$1.05 versus reported consensus of approximately \$0.90, and per Benzinga, StockTitan, and MarketBeat coverage of the report, revenue reportedly came in near approximately \$1.297 billion with deliveries reportedly down approximately 19% year-over-year to 2,732 homes and net orders reportedly down approximately 12% year-over-year to 2,604 homes, and per StockTitan coverage of the guidance revision, the company reportedly cut FY26 housing revenue guidance to a range of approximately \$4.9 billion to \$5.1 billion (from a prior reported range of approximately \$4.9 billion to \$5.3 billion) and reportedly cut housing gross margin guidance to a range of approximately 16.0% to 16.2% (from a prior reported range of approximately 16.1% to 16.5%), with management reportedly characterizing housing conditions as weakening since the June earnings report. Per data drop, TOL (the FCI Growth-Hybrid homebuilder exposure) reportedly closed Tuesday ↑1.53% at \$137.57 into the KBH after-hours print, and per Yahoo Finance coverage carried in the data drop, TOL reportedly announced new luxury townhome and Myrtle Beach community collections. For FCI positioning, the composition — a KBH beat-and-guide-cut pattern into a Fed higher-for-longer regime, a TOL luxury-tilt read against the reported KBH first-time-buyer segment, and the reported Fed funds path near approximately 4.2% by December (per StreetStats and iShares fed funds futures coverage) — keeps TOL reading through the reported housing-cycle framing into Friday’s Durable Goods and existing-home-sales prints per Kiplinger.

3. AZO EPS Beat, Revenue Light — EPS \$56.05 vs \$54.40 Est; Total-Company Same-Store ↑2.7% Reportedly Below Consensus; Reads Into FCI Dividend GPC. Per data drop earnings, AutoZone reportedly reported Q4 fiscal 2026 EPS of \$56.05 versus reported consensus of approximately \$54.40, and per Benzinga, Gurufocus, and MarketBeat coverage of the pre-open print, revenue reportedly came in near approximately \$6.59 billion (reportedly slightly below the reported consensus near approximately \$6.70 billion) with reported total-company same-store sales rising approximately 2.7% (reportedly below the reported approximately 3.8% consensus expectation), with the company release reportedly citing approximately 1.6% domestic constant-currency comps and approximately 10.7% international comps. Per Investing.com coverage of the Q4 slides, margins reportedly expanded as commercial sales reportedly surged, framing the reported professional-vs-DIY divergence in the auto-aftermarket layer. Per data drop, GPC (FCI Dividend auto-and-industrial aftermarket exposure) reportedly closed Tuesday ↑2.48% at \$129.59 into the reported AutoZone read, and per Yahoo Finance and ChartMill coverage carried in the data drop holdings news, one piece reportedly framed GPC as receiving a fresh valuation look as its reported Motion spinoff plan reportedly takes shape. For FCI positioning, the composition — an AZO EPS beat against a reported top-line miss and reported light comp print, a reported commercial-segment strength signal, and a GPC Tuesday close reportedly reading through the auto-aftermarket layer alongside the reported Motion spinoff narrative — keeps GPC reading through the intersection of the auto-aftermarket signal, the Fed rate path, and the reported spinoff catalyst into the balance of the week.

4. Defense Reportedly Sold Into Xi Week — GD ↓2.97%, LMT ↓2.44% as Diplomacy Optics Firm. Per data drop, Tuesday's FCI Dividend defense sleeve reportedly moved sharply lower with GD ↓2.97% at \$343.39 and LMT ↓2.44% at \$522.34, framing a session where the reported UNGA-and-airline-sanctions overlay reportedly compressed the reported defense bid. Per Yahoo Finance coverage carried in the data drop, Lockheed Martin was reportedly framed as spending ahead on JATM ahead of a possible multiyear contract. Per data drop, the FCI industrial-adjacent layer reportedly moved with CAT ↓1.04% at \$808.01 and PCAR ↓0.72% at \$113.90. For FCI positioning — a reported defense drawdown into the same 24 hours as the Bessent airline sanctions and the Xi arrival — keeps LMT, GD, CAT, PCAR, and CNX reading through the Xi-Pezeshkian same-day event risk, the still-live sanctions map, and the Fed rate path.

5. Metals-and-Materials Bid — AEM ↑3.07%, FCX ↑3.03%, NTR ↑1.19% on Reported Hard-Asset Rotation. Per data drop, Tuesday's FCI Growth-Hybrid metals-and-materials layer reportedly caught a firm bid with AEM ↑3.07% at \$203.55, FCX ↑3.03% at \$74.35, and STLD ↑1.74% at \$233.99, alongside FCI Dividend NTR ↑1.19% at \$75.43, framing a rotation into hard-asset exposures against the reported dollar-at-two-month-highs backdrop per Reuters coverage carried in the data drop. Per Yahoo Finance coverage carried in the drop, FCX was reportedly framed as leveraging a low-cost approach to reported record copper prices. Per data drop, Gold (GLD) reportedly closed ↑0.42% at \$400.07 and Silver (SLV) reportedly closed ↑1.84% at \$60.73. For FCI positioning — a reported metals-and-materials bid alongside a firm precious-metals tape and a reported dollar-at-highs backdrop — keeps AEM, FCX, NTR, and STLD reading through the copper-and-precious-metals thread, the Fed rate path, and the physical-world-matters framework.

6. Digital Assets Reportedly Pause — IBIT ↓0.37%, ETHA ↓0.43%; Miners & Brokers Diverge Higher. Per data drop, Tuesday's FCI digital-asset ETF layer reportedly paused with IBIT ↓0.37% at \$48.83 and ETHA ↓0.43% at \$20.76 after the reported Monday extension, while the reported miner-and-broker layer reportedly bifurcated higher with HUT ↑3.08% at \$106.61, MARA ↑2.64% at \$13.63, and HOOD ↑0.77% at \$124.25. Per Yahoo Finance coverage carried in the data drop, one piece reportedly framed Bitcoin ETFs as pulling in approximately \$1 billion in a day, and SOFI reportedly closed ↑1.12% at \$17.16 as SoFi's stablecoin reportedly went live across Mastercard's network per Yahoo Finance coverage. For FCI positioning — a reported IBIT-ETHA pause with a reported miner-and-broker bid alongside a reported SoFi stablecoin launch — keeps IBIT, ETHA, HOOD, HUT, MARA, and SOFI reading through the SEC tokenized-stock clearance and the AI-infrastructure buildout into the Xi week.

For internal FCI investment committee use only. Not investment advice. Information from public sources believed reliable. Past performance not indicative of future results. FCI is an RIA under Paradiem.